Pemberton Debt Advisory

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Information Memorandum
Senior Secured Term Loan

Pinnacle Education Group Ltd: A$140M refinance of existing bank debt

Prepared for Quillwood Credit Partners and other invited lenders

Version 1.0, 20 July 2026

Strictly private and confidential

Reference: PDA/IM/2026/PEG-014

Date: 20 July 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Pinnacle Education Group Ltd
ABN	15 734 984 518
Registered office	Level 14, 200 Queen Street, Melbourne VIC 3000
Facility	Senior secured term loan (refinance), A$140M, 60 months
Date of memorandum	20 July 2026
Version	1.0 (initial distribution)
Prepared by	Pemberton Debt Advisory
Prepared for	Quillwood Credit Partners and other invited lenders

Transaction details

Important notice

This Information Memorandum (IM) has been prepared by Pemberton Debt Advisory at the request of Pinnacle Education Group Ltd (the Company or Pinnacle), working with Aldwych Corporate Advisory Pty Ltd, which the Company mandated on 30 June 2026 as its financial adviser for the refinance. It is provided to a limited number of prospective lenders to assist them in deciding whether to submit an indicative proposal for the facility described below.

Financial information for the year ended 30 June 2026 (FY26) is drawn from management information and is unaudited at the date of this IM. The audit by Tarrant Meyer Chartered Accountants is in progress. Property values are the Company's current estimates and remain subject to independent valuation by Halvorsen Whitlam Valuers Pty Ltd. The capital works budget remains subject to review by Brennan Carlisle Quantity Surveyors Pty Ltd. Each recipient should make its own assessment and rely on its own enquiries and on the final due diligence reports and facility documents. The terms in this IM are indicative and non-binding.

Pinnacle Education Group Ltd has no corporate or ownership connection to Pinnacle Early Learning, an unrelated early childhood operator. Nothing in this IM relates to that business.

1. Executive summary

Pinnacle operates 11 independent K-12 schools, seven in Victoria and four in New South Wales. For the 2026 school year, 9,640 students are enrolled against a combined capacity of 10,900, an occupancy rate of 88.4%. Student retention is 93.5% and the group employs 1,420 full-time equivalent (FTE) staff. Nine campuses are held freehold and two are leased.

For FY26 the group reported revenue of A$312M and EBITDA of A$48M, an EBITDA margin of 15.4%. Revenue is predominantly recurring: parent-funded fees are about 68%, Commonwealth and state recurrent funding about 29%, and ancillary income about 3%.

The Company seeks a five year, A$140M senior secured term loan to refinance its existing bank debt of the same amount. The new facility is intended to give the group a longer-dated and more flexible capital structure while it delivers a committed A$36M campus works program.

Key credit metrics (pro forma for the refinance)

Metric	Value
Gross debt	A$140M
Cash	A$22M
Net debt	A$118M
Gross leverage (gross debt / EBITDA)	2.9x
Net leverage (net debt / EBITDA)	2.5x
Interest cover (EBITDA / interest)	4.8x
Loan to value ratio (LVR)	34.1%
Freehold property value (indicative)	A$410M

Table 1: Headline credit metrics, FY26 EBITDA of A$48M

Investment highlights

- Recurring, largely prepaid revenue base with high retention (93.5%) across 11 schools and 9,640 students.
- Conservative leverage of 2.5x net and 2.9x gross, with interest cover of 4.8x.
- Security over nine freehold campuses at an LVR of 34.1% on the Company's indicative value of A$410M, plus a general security deed over the group.
- Spare capacity of 1,260 student places (10,900 less 9,640) provides organic growth without new land.
- Governance on listed-company lines: independent chair, board audit and risk committee and continuous disclosure style reporting, despite shares not being quoted.

2. The proposed facility

The terms below are indicative and will be finalised in a term sheet. Pricing is set out for lender comparison and is not a binding offer.

Term	Indicative position
Borrower	Pinnacle Education Group Ltd
Facility	Senior secured term loan (refinance)
Amount	A$140M, fully drawn at financial close
Tenor	60 months from drawdown
Purpose	Refinance existing bank debt of A$140M
Margin	3M BBSW plus 3.25% p.a.
Upfront fee	1.50% (A$2.1M)
Interest	Payable quarterly in arrears
Repayment	1.0% p.a. scheduled amortisation (A$1.4M p.a.); balance bullet at maturity
Security	First registered mortgages over nine freehold campuses; general security deed over the group

Table 2: Indicative facility terms

2.1 Sources and uses

The transaction is a like for like refinance. The new facility of A$140M is applied in full to repay the existing bank debt of A$140M. No additional debt is requested. The upfront fee of A$2.1M and other transaction costs are expected to be met from existing cash, and the metrics in this IM are shown before those costs.

2.2 Debt service profile

Scheduled amortisation of 1.0% p.a. reduces the balance by A$1.4M each year, to A$133.0M at maturity. The bullet repayment of A$133.0M is 95% of the original facility, so exit depends on refinancing or repayment from other sources in 2031. Pro forma cash interest is approximately A$10.0M a year, consistent with interest cover of 4.8x. Including scheduled amortisation, EBITDA covers interest and scheduled principal about 4.2x.

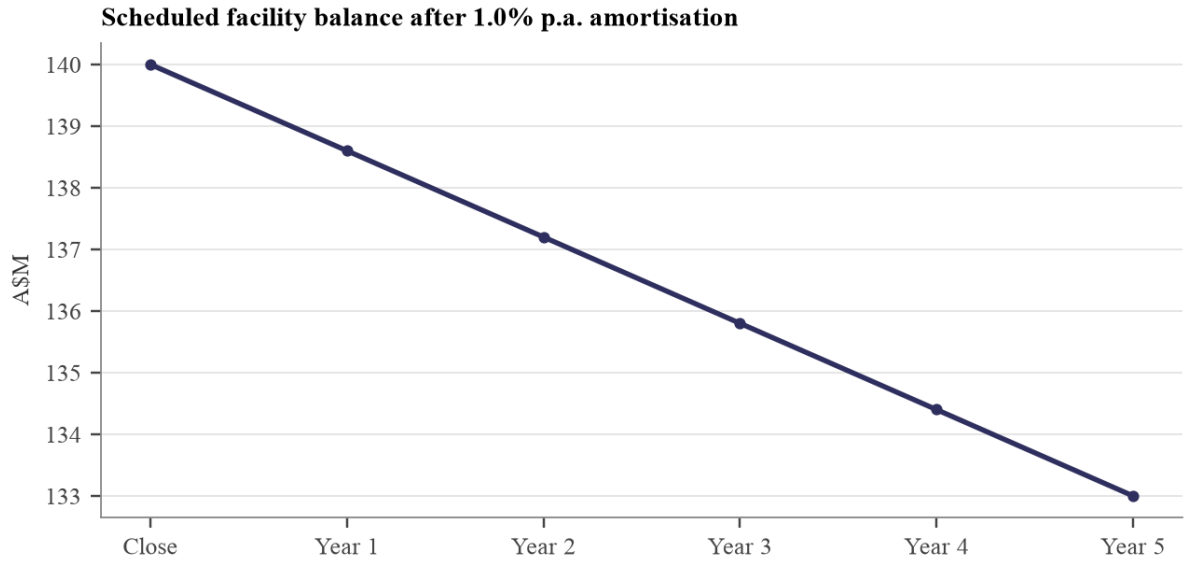


Figure 1: Scheduled balance, assuming no voluntary prepayment. Balance at maturity is A$133.0M.

3. Company overview

3.1 History

Pinnacle opened its founding campus, Pinnacle College Kew, in Melbourne on 1 February 1998 with 310 students. Pinnacle Education Group Ltd was incorporated as a public company on 15 November 2007 to consolidate the Victorian campuses under one board. In June 2014 it acquired two independent schools in Sydney's north-west, establishing its New South Wales presence. The Pinnacle Wyndham campus opened in Melbourne's western growth corridor on 25 January 2021, and the group reached 11 schools by 2023 following two further New South Wales acquisitions. On 30 June 2026 the group completed FY26 and mandated Aldwych Corporate Advisory Pty Ltd to arrange the refinance.

Date	Milestone
Feb 1998	Pinnacle College Kew opens with 310 students
Nov 2007	Incorporated as a public company
Jun 2014	Acquires two schools in Sydney's north-west
Jan 2021	Pinnacle Wyndham campus opens
2023	Reaches 11 schools after two further NSW acquisitions
Jun 2026	FY26 completed; refinance mandate awarded

Table 3: Corporate milestones

3.2 Schools and enrolments

The group's 11 schools are independent K-12 institutions. Seven are in Victoria and four in New South Wales. Victoria accounts for the larger share of enrolments. Nine campuses are freehold and two are leased; only the freehold campuses form part of the security package.

Operating metric	FY26 / 2026 school year
Schools	11 (7 VIC, 4 NSW)
Students enrolled	9,640
Student capacity	10,900
Occupancy	88.4%
Student retention rate	93.5%
Staff (FTE)	1,420
Freehold / leased campuses	9 / 2

Table 4: Operating profile

Occupancy of 88.4% indicates available headroom, but it is an average. Some campuses run below 85% of capacity, which is addressed in the risk section. Retention of 93.5% points to stable demand from existing families, with enrolment growth coming mainly from entry years and the newer campuses.

3.3 Revenue model

Parent-funded fees contribute about 68% of revenue, or roughly A$212M. Commonwealth and state recurrent funding contributes about 29%, or roughly A$90M, and ancillary income (including outside school hours care, uniforms, hire of facilities and similar) about 3%, or roughly A$9M. Fees are set annually ahead of the school year and are generally billed per term, which gives good visibility of revenue for the year ahead once enrolments are confirmed.

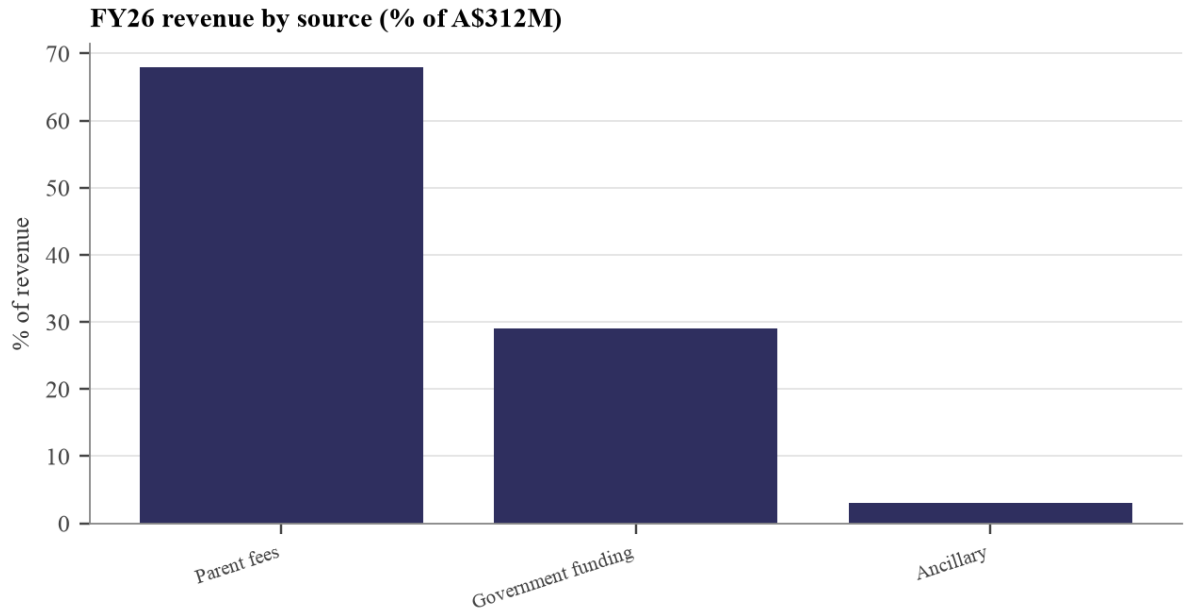


Figure 2: Revenue composition, FY26 (unaudited). Percentages are approximate.

4. Governance and management

The Company is a public company with a widely held register and no private equity sponsor. Its shares are not quoted on a securities exchange, but the board applies listed-company governance practices: an independent non-executive chair, a board audit and risk committee, and continuous disclosure style reporting to shareholders. Lenders will therefore be dealing with a borrower with no controlling shareholder and a board that is accountable to a broad register.

Director	Role
Margaret Ashby	Independent Non-Executive Chair
David Hartnett	Managing Director and Chief Executive Officer
Priya Bancroft	Executive Director and Chief Financial Officer

Table 5: Board of directors

Advisers to the transaction are Aldwych Corporate Advisory Pty Ltd (financial adviser), Fitzgerald Lowe Lawyers (legal counsel to the borrower), Tarrant Meyer Chartered Accountants (auditor), Halvorsen Whitlam Valuers Pty Ltd (valuer) and Brennan Carlisle Quantity Surveyors Pty Ltd (quantity surveyor).

5. Security package

The facility will be secured by first registered mortgages over each of the nine freehold campuses and a general security deed over the assets and undertakings of the Company and its material subsidiaries. The two leased campuses are not mortgaged. Lenders will take security and guarantees from the borrower group on terms to be settled in the term sheet.

The Company's indicative value for the freehold campuses is A$410M. On gross debt of A$140M this is an LVR of 34.1%. Halvorsen Whitlam Valuers Pty Ltd has been engaged to value the freehold portfolio, with its report expected on 14 August 2026. Because school land is a specialised use, lenders should consider the valuer's assumptions about alternative use and vacant possession, and whether the valuation should be reported on both a going concern and a market value basis.

The security package is also supported by the cash flow profile of the operating business. Value cover and earnings cover are therefore complementary rather than dependent on a single source of repayment.

6. Financial overview

6.1 FY26 result

A$M unless stated	FY26 (unaudited)
Revenue	312
EBITDA	48
EBITDA margin (%)	15.4
Cash	22
Gross debt (post refinance)	140
Net debt	118
Pro forma cash interest (approx.)	10

Table 6: FY26 summary financials and pro forma debt

Labour is the largest cost line. Teacher and support staff costs for the 1,420 FTE workforce are governed by enterprise agreements and wage settlements, so margin depends on fee growth keeping pace with wage growth. Audited financial statements are expected on 4 September 2026 and management accounts for the first quarter of FY27 on 9 October 2026.

6.2 Interest rate sensitivity

The facility is floating rate. The table shows the effect of higher base rates on annual interest and interest cover, holding the A$140M balance and FY26 EBITDA of A$48M constant. The Company expects to hedge part of the exposure, and a minimum hedging requirement is proposed in section 8.

BBSW movement	Interest (A$M)	Interest cover (x)
No change	10.0	4.8
+100 bps	11.4	4.2
+200 bps	12.8	3.8
+300 bps	14.2	3.4

Table 7: Unhedged interest cover sensitivity

6.3 Capital works program

The group has a committed campus works program of A$36M. The Company has indicated that it intends to fund the program from operating cash flow and existing cash, and no incremental debt is requested in this IM. The longer tenor and flexible terms of the new facility are designed to support delivery without a near term refinancing event. The works are intended to add capacity and improve facilities, supporting enrolment growth in the 1,260 places currently unfilled.

Brennan Carlisle Quantity Surveyors Pty Ltd will review the budget, programme, procurement and contingency, with its report expected on 21 August 2026. Lenders will be able to test the cost to complete and the sensitivity of the program to delay.

7. Key risks and mitigants

Risk	Description	Mitigant
Government funding	About 29% of revenue depends on Commonwealth and state recurrent funding, exposed to changes in funding agreements or indexation.	Funding is diversified across two states and the federal government; fees remain the main income; covenant headroom absorbs moderate shocks.
Fee affordability and enrolment	Cost-of-living pressure or catchment demographics could reduce enrolments or limit fee increases, especially at campuses below 85% capacity.	Retention of 93.5%; 1,260 spare places; reporting of campus level enrolments to lenders.
Labour cost inflation	Wage settlements are the largest cost line and could outpace fee growth.	Annual fee setting ahead of each school year; margin headroom shown in covenant analysis.
Geographic concentration	Seven of 11 schools, and the larger share of enrolments, are in Victoria.	Four NSW schools provide some diversification; Melbourne catchments include established and growth areas.
Capital works delivery	The A$36M program carries cost and timing risk; enrolment growth for new facilities may be late.	QS review; cash of A$22M; works not required for current debt service.
Regulatory, child safety and reputation	A serious compliance failure or incident could reduce group wide demand and trigger regulatory action.	Board audit and risk committee oversight; incident notification undertaking proposed.
Interest rate and refinancing	Floating rate facility with bullet at maturity; higher rates reduce cover and exit depends on refinancing in 2031.	Hedging requirement; scheduled amortisation; low LVR of 34.1% supports refinancing.

Table 8: Key risks and mitigants

8. Proposed covenants and undertakings

The following financial covenants are proposed as a basis for discussion. Levels will be set after due diligence and lender feedback and tested at each half year and financial year end on a rolling twelve month basis.

Covenant	Proposed level	Pro forma FY26	Headroom
Net leverage	Max 3.5x	2.5x	EBITDA down about 30%
Interest cover	Min 3.0x	4.8x	EBITDA down about 37%
LVR	Max 50%	34.1%	Value down about 32%

Table 9: Proposed financial covenants and headroom

Headroom is measured against a single variable with all others held constant. Lenders should treat it as a guide only.

Other proposed undertakings include:

- Annual audited accounts within 120 days of year end and half year accounts within 60 days.
- Quarterly compliance certificates and campus level enrolment reporting.
- Hedging of at least 50% of drawn debt for not less than three years.
- Negative pledge, restrictions on additional financial indebtedness and limits on distributions while leverage exceeds an agreed level.
- Notification of any material child safety, regulatory or funding event.
- Capital works progress reporting against budget until practical completion.
- Annual valuation of at least a rotating portion of the freehold portfolio, and full revaluation at lender request after a default or material adverse change.

9. Conditions precedent

Conditions precedent to drawdown are expected to include:

- Satisfactory independent valuation of the nine freehold campuses from Halvorsen Whitlam Valuers Pty Ltd, supporting an LVR no higher than agreed.
- Satisfactory quantity surveyor report from Brennan Carlisle Quantity Surveyors Pty Ltd on the A$36M works program.
- Audited FY26 financial statements from Tarrant Meyer Chartered Accountants and management accounts to 30 September 2026.
- Executed security documents, including first registered mortgages and a general security deed, with registrations lodged.
- Legal opinions and corporate authorisations from Fitzgerald Lowe Lawyers, and confirmation of title, planning and zoning, and school registration status.
- Evidence of insurance, including property and public liability, with lender interests noted.
- Payoff letter and release of security held by the existing bank lender.
- Satisfactory know your customer checks and payment of the upfront fee.

10. Process and timetable

The timetable below is indicative. Dates after the date of this IM are expected delivery dates and may change.

Date	Event
20 Jul 2026	Information memorandum issued
14 Aug 2026	Valuation report expected
21 Aug 2026	Quantity surveyor report expected
4 Sep 2026	Audited FY26 financial statements expected
9 Oct 2026	Management accounts expected
23 Oct 2026	Term sheet targeted

Table 10: Indicative timetable

Lenders wishing to proceed should contact Pemberton Debt Advisory to arrange access to the data room, a management presentation and site visits to selected campuses. Questions should be directed to Pemberton Debt Advisory and not to the Company, its directors, staff or other advisers.

Prepared by Pemberton Debt Advisory, 20 July 2026, version 1.0.